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After the Spike: 5 Energy Stocks Still Built to Win if the Iran War Premium Lingers

The Iran war produced the biggest oil shock in years. After the April 8 ceasefire headline, the easy trade is over. The next winners are the energy companies whose cash flow holds whether crude stays at \$110 or settles back to \$85. Five names ranked: MPC, XOM, CVX, VLO, OXY.

The Iran war produced the biggest oil shock in years. By the time you finish reading the next paragraph, the easy trade is already over.

For most of the past six weeks, markets traded the simplest possible energy thesis: a supply shock at the world's most important chokepoint produces a vertical move in crude, which produces a vertical move in every stock with a barrel attached. WTI cleared \$110 intraday, the Energy Select Sector SPDR Fund (XLE) rose roughly 7.4 percent in March alone, and at the early-April peak the sector was up 41.6 percent year-to-date. FactSet reported that energy was the S&P 500 sector with the largest upward earnings revisions in Q1 2026, ahead of every other group.

Then the April 8 ceasefire headline hit. WTI fell roughly 15 percent in a single session, Brent dropped to approximately \$95 from \$110.75, and the entire "buy any energy stock" trade ended in a single afternoon. The next phase rewards stock selection, not sector exposure. The companies that win from here are the ones whose cash flow is durable whether crude stays volatile near \$110 or settles back to \$85 — not the ones that simply capture the highest beta to a number nobody can forecast with confidence.

This report ranks five energy names for that environment: Exxon Mobil (XOM), Chevron (CVX), Marathon Petroleum (MPC), Valero Energy (VLO), and Occidental Petroleum (OXY). Apache (APA) and Phillips 66 (PSX) were on the consideration list. The five names below are the highest-conviction picks for the post-spike phase.

Comparison Table — The Five Picks

Stock	Price	YTD	Trailing P/E	Div. Yield	Since War*
XOM	\$163.91	+33.6%	24.5x	2.5%	+6.3%
CVX	\$201.54	+29.3%	30.4x	3.5%	+6.3%
MPC	\$245.42	+48.6%	18.6x	1.7%	+17.0%
VLO	\$251.49	+52.1%	32.4x	2.0%	+17.0%
OXY	\$62.94	+48.5%	46.6x	1.7%	+16.1%

* Since War return is calculated from the March 2 close (the first full trading day after the conflict expanded over the prior weekend) to the April 7 US session close. Prices, dividend yields and trailing P/E ratios are sourced from each company's current investor stat page.

The numbers reveal the central setup. The two refining-heavy names (MPC and VLO) and the high-beta producer (OXY) captured roughly 16 to 17 percent of the war move. The two integrated majors (XOM and CVX) captured roughly 6 percent. That spread is the entire investment thesis: when crude went vertical, downstream margins and high-beta upstream got the explosive returns. When crude reverses, those same names give back the most. The integrated majors give back the least.

1. Exxon Mobil (XOM): The Boring Core Position

Exxon is the least exciting name on this list. That is precisely why institutional investors should treat it as the core energy holding for the current cycle. The company describes itself as one of the world's largest integrated fuels, lubricants, and chemicals businesses, with upstream, downstream, and chemicals segments operating in genuine balance rather than as a producer with a few refineries attached.

That structural balance is the reason Exxon does not collapse when the war premium fades. Upstream earnings spike when crude jumps, but downstream margins stabilize when the next leg of the cycle pulls crude back. In its 2025 results disclosure, Exxon reported \$28.8 billion in annual earnings and \$37.2 billion in shareholder distributions for the year. Both numbers anchor the case that Exxon is not a crude beta lottery ticket but a cash-flow-generating business that compounds through the cycle.

The Exxon trade is not the highest return on this list under either tail scenario. It is the highest probability-weighted return across every reasonable scenario. For an investor who has to pick one energy name and hold it through both ceasefire stabilization and reescalation, Exxon is the most defensible single choice.

2. Chevron (CVX): Quality and the Capital Return Story

Chevron is the cleanest quality holding on the list. The company has consistently described its asset base as a resilient, world-class portfolio in recent investor communications, with integration extending across upstream, downstream, midstream, and chemicals. The structural difference from Exxon is small but real: Chevron's upstream weighting is slightly higher, which means slightly more sensitivity in both directions to crude price moves.

What separates Chevron from a generic energy quality holding is the size and discipline of its capital return program. Chevron's board approved a \$75 billion buyback authorization in 2023, and the company has continued executing against multi-year free cash flow guidance and capital return targets in the periods since. The 3.5 percent dividend yield is the highest among the five names in this report and reflects a pass-through commitment to shareholders that does not depend on crude staying above any specific level.

The Chevron case is straightforward. If the war expands and crude reaccelerates, Chevron's upstream segment captures the move. If the ceasefire holds and crude settles into a \$80-to-\$95 band, the buyback and dividend remain in place and the stock compounds at high single digits even without further multiple expansion. In both cases, the income component of total return is structurally protected.

3. Marathon Petroleum (MPC): The Tactical Top Pick

The most interesting name in this report is Marathon Petroleum. The reason is simple. Markets default to the assumption that "higher crude equals higher energy stocks" — but the largest single-quarter equity returns in energy frequently come from refining margin expansion, not from the price of the underlying barrel.

The 3-2-1 crack spread (the theoretical refining margin from buying three barrels of crude and selling two barrels of gasoline plus one barrel of distillate) reached approximately 40.82 on April 7, 2026, according to RBN Energy. That is well above the long-run historical average and reflects an unusually tight product market caused by both the war disruption and seasonal demand patterns. MPC describes itself as a leading integrated downstream and midstream energy company. In plain language, MPC does not bet on crude prices. It bets on product margins, distribution infrastructure, and the dislocations between regional crude grades and finished product demand.

This positioning produces an asymmetric setup that the other names on the list do not match. If the ceasefire holds and crude settles back, refining margins can remain elevated for weeks or months because product inventories work down on a delayed cycle. MPC keeps earning. If the ceasefire breaks and crude reaccelerates, MPC captures both refining margin expansion and trading desk gains simultaneously. The stock has both feet planted in the most resilient cash flow segment of the energy value chain.

For these reasons, MPC is the tactical best idea in this report. It is the highest-conviction trade for an investor who wants exposure to the post-spike phase but does not want to bet directly on a single crude price scenario.

4. Valero Energy (VLO): The Cleanest Crack-Spread Bet

Valero is the most direct refining play on the list. The company describes itself as the world's largest independent refiner, and that independence matters in the current environment. Independent refiners are more directly exposed to crack spread movements than integrated majors because they do not have upstream cash flows averaging out their refining results.

The pure-play structure has been working. Valero is up 52.1 percent year-to-date, the highest of the five names, and captured roughly 17 percent of the war move. The dividend yield is modest at 2.0 percent but the capital return story is built on share buybacks rather than payout growth.

The honest weakness in the Valero case is demand sensitivity. If crude stays elevated for too long, demand destruction kicks in and product margins eventually compress on the downside. The 1973 OPEC embargo eventually triggered global recession and refining margins collapsed in 1974 and 1975 even as nominal crude prices stayed near peak levels. A 1973-style sustained shock is not necessarily a Valero scenario despite the obvious appeal of the current crack spread environment. For investors evaluating VLO, the right framing is that it captures the dislocations of the current premium phase more sharply than any other name on the list, but it is also more exposed to the recessionary tail than a balanced integrated major.

5. Occidental Petroleum (OXY): The High-Beta Trade, Not an Investment

OXY is the least safe name on this list. It is also the most "war stock" of the five. Berkshire Hathaway holds approximately 32.7 percent of OXY's economic interest based on recent disclosed 13F filings, and that endorsement provides a clear sentiment premium that the other producers on the list do not enjoy.

But the Berkshire halo is not the investment thesis. OXY is fundamentally a high-beta crude leverage play. The Permian-weighted production base, the relatively higher financial leverage compared to the integrated majors, and the absence of a downstream cushion all amplify both upside and downside relative to crude price moves. If WTI reaccelerates to \$120 to \$140, OXY likely posts the highest single-quarter return in this report. If the ceasefire holds and WTI settles into the \$80s, OXY also posts the largest single-quarter drawdown.

The honest framing for OXY in the current environment is that it is a position, not an investment. Buying OXY today is fundamentally a directional bet that crude has another upward leg, not a long-term decision to hold a quality compounder. Investors who blur that distinction tend to end up holding the position through the wrong scenario.

Historical Parallels: How Energy Stocks Behaved After Past Oil Shocks

Event	Oil Shock	Energy Equity Pattern	After the Shock
1973 OPEC embargo	Crude rose from \$2.90 to \$11.65 per barrel, roughly 4x in one year	Energy became multi-year market leadership, not a single-quarter trade	Embargo ended but a high-price plateau persisted for years
1990 Gulf War	Crude rose from \$17 average in June to \$36 average in October	Sharp but short rally	Crude declined through November-December 1990 and January 1991
2022 Russia-Ukraine	Crude spiked, energy was the only positive S&P 500 sector for the year	Energy leadership held through the full calendar year	Sector returns weakened in H1 2023
2026 Iran War	WTI peaked at \$116.66, Brent at \$110.75, both fell to roughly \$96 and \$95 on the April 8 ceasefire	XLE up roughly 7.4 percent in March, +41.6 percent YTD at peak	Currently at the inflection between sustained supercycle and brief 1990-style rally

The historical record suggests three distinct outcomes are possible from the current setup. The 1973 reference produces a structural plateau that would justify owning energy as a multi-year overweight. The 1990 reference produces a rapid ceasefire mean reversion that would justify trimming exposure aggressively. The 2022

reference produces a single calendar year of leadership followed by underperformance the next year.

The 2026 Iran war situation sits somewhere between the 1973 and 1990 references. The supply disruption was real and significant in scale (the Strait of Hormuz handles approximately 20 million barrels per day according to EIA estimates, the largest single chokepoint in global energy logistics). But the diplomatic resolution arrived faster than the 1973 timeline and produced a 1990-style premium collapse. Whether the next phase becomes a structural plateau or a brief premium episode depends entirely on whether the ceasefire holds for more than a few weeks.

The Timing Question: Is It Too Late?

The honest answer is that it is too late to chase high-beta producers without a thesis, and it is not too late to own quality energy businesses. A 1973-style structural shock requires a sustained high-price plateau, which the market cannot yet confirm. A 1990-style premium collapse moves quickly and the easy trade is gone within weeks of the diplomatic resolution. The current market is at the fork between those two paths, which is why stock selection has become more important than directional crude exposure.

The 1973 case was a crisis where prices stayed elevated. The 1990 case was a crisis where the premium evaporated. The 2026 Iran war case has not yet been confirmed as either.

The CPI Print Connection: March Is Already Locked In

The most important macro event of the week is the March CPI release on April 10 at 8:30 AM Eastern. The AAA national average for retail gasoline reached approximately \$4.14 per gallon during the spike phase, and consensus estimates from major bank research desks point to roughly +0.9 percent month-over-month and +3.3 percent year-over-year for the headline March CPI number. The Bureau of Labor Statistics calendar confirms the release timing.

The critical observation is that today's crude price collapse cannot retroactively soften the March CPI number. March is already locked in as a hot inflation month. The ceasefire helps the April and May inflation trajectory, but the print scheduled for April 10 will reflect the full peak-of-spike pricing that consumers actually paid during March. That asymmetry has implications for how the energy trade behaves over the next week.

Markets are likely to receive the March CPI number as confirmation of the warflation thesis even after the ceasefire. A hot CPI print does not require a hot oil price on the day of release. It requires a hot oil price during the reference month, which is exactly what March delivered.

The 1970s lesson on this point is straightforward. The sectors that cause inflation tend to be the strongest sectors during inflation. That mechanical relationship favors energy in the near term even if the immediate crude price has reversed. But the 1970s reference is not perfect for the current environment because the 1970s involved sustained high prices over many years, while the 2026 spike collapsed in a single afternoon. Calling the current move a multi-year supercycle would be premature. The more accurate framing is that the current move is the first test of whether a supercycle can develop, not the supercycle itself.

Scenario Analysis: How Each Stock Behaves in Three Outcomes

Scenario	Oil Price	XOM	MPC	OXY
Ceasefire holds, war premium fades	\$80-\$90	-8% to -12%	-10% to -15%	-18% to -25%
Unstable ceasefire, premium lingers	\$100-\$120	+5% to +12%	+8% to +18%	+12% to +25%
Reescalation, Hormuz risk reignites	\$140+	+15% to +25%	+10% to +20%	+25% to +40%

This table reflects scenario analysis, not price targets. CVX is likely to track XOM closely in each scenario. VLO is likely to track MPC closely with somewhat higher beta on the upside and downside. The clear pattern is that the integrated majors take the smallest hit if the ceasefire holds, and the high-beta producers capture the largest move if the conflict reescalates.

The risk that matters most is no longer that the war expands. It is that the war ends faster than the market currently expects. The April 8 ceasefire headline produced a one-day double-digit-dollar move in both WTI and Brent, which by itself reveals how quickly the energy premium can compress when the diplomatic backdrop shifts.

The opposite tail scenario also deserves explicit consideration. If the ceasefire breaks and Hormuz tension reignites, markets will rapidly reprice the 20 million barrel per day chokepoint risk back into crude curves. In that case, the integrated majors strengthen again and high-beta names like OXY can move dramatically more. But that scenario is a low-probability, high-impact tail. Investors are perpetually attracted to tail risks, and portfolios that overweight tail exposures consistently underperform across longer horizons. The right framing for the current environment is to favor optimal asymmetry rather than maximum elasticity.

Brutal Edge™ Verdict

The conclusion of this report is more sober than the headline suggests.

First, the easy money has already been made. When Hormuz tension was peaking and WTI was breaking \$110, owning anything with a barrel attached produced a return. That window is closed. From here, the question is which specific energy names hold up if the ceasefire stabilizes and which still capture the move if the war reignites.

Second, the highest-conviction picks for the next phase are not the highest-beta producers. They are the energy companies whose cash flow does not break under either scenario. On that basis, the conviction ranking from this report is: MPC > XOM > CVX > VLO > OXY. MPC is the tactical top pick. XOM is the most defensible core position. CVX is the highest-quality income holding. VLO captures the cleanest crack spread move but carries the most demand-destruction risk. OXY offers the highest tail upside and the highest near-term

drawdown risk.

Third, treating OXY as a long-term defensive energy holding is a category error. OXY is fundamentally a directional crude beta exposure with a Berkshire endorsement. If the ceasefire stabilizes, OXY will likely lead the downside in this group. If the war reignites, OXY will likely lead the upside. That asymmetry makes it a trading instrument, not a core compounder.

The sector continues to deserve attention. But the next leg of returns belongs to the investors who understand refining margins, integrated cash flows, and the difference between a structural plateau and a premium episode. Buying any energy stock today is no longer rationality. It is excitement.

Sources and Methodology

This report uses prices and data as of the April 7, 2026 US session close. War and ceasefire reporting is sourced from AP, the Guardian, and Axios coverage of the April 8 diplomatic developments. The Strait of Hormuz volume reference (approximately 20 million barrels per day) is from EIA chokepoint analysis. The March CPI release timing is from the official BLS calendar. The 3-2-1 crack spread reference of 40.82 on April 7 is from RBN Energy. National retail gasoline prices are from AAA. The Berkshire Hathaway OXY economic interest of approximately 32.7 percent is from publicly disclosed 13F filings. Sector earnings revision commentary is from FactSet Q1 2026 reporting. Individual company yields and trailing P/E ratios are sourced from each company's investor stat page.

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